

06 October Routine Management Report

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Prepared by Fictional borrower finance team

For Scenario Lender D01

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Period and delivery

Reporting period: October 1 to October 31, 2026. Finalized and delivered to the fictional lender portal on November 18, 2026 at 10 am New York time. Trial and renewal windows are closed and reconciled. The operative credit agreement is version 1.0 dated October 1, 2026. This report supplies observations; the recipient assesses them under the agreement.

Operating metrics

Metric	October observation
Monthly active users	8400000
Opening paid annual accounts	840000
Annual accounts expiring	70000
Successfully renewed annual accounts	64400
Eligible trial accounts	70000
Successfully converted trial accounts	5600
Ending paid annual accounts	840000
Gross subscription billings in USD millions	12.6000
Recognized subscription revenue in USD millions	12.6000
Other recognized revenue and cash receipts in USD millions	3.1500

No trial-window reinstatements, refunds or changes in cohort definitions occurred. Gross subscription billings are annual contract purchases, not the year's total recognized revenue. The processor receivable balance remains \$6.0m. The restricted processor reserve remains \$4.0m.

Results and cash

Measure	USD millions
Total recognized revenue	15.7500
Processing fee expense and cash withheld	2.5200
Hosting and AI-service expense paid	3.1500
Other operating expense paid	7.0800
EBITDA	3.0000
Cash interest	0.4500
Cash tax	0.5125
Capital expenditure	0.8000
Opening Unrestricted Cash	38.0000
Closing Unrestricted Cash	39.2375
Closing total bank balances	43.2375

October interest was delivered on October 30, the last Business Day of the month. Debt remains \$60.0m. No new borrowing, security, shareholder distribution or discretionary expansion commitment was entered. Month-end cash consists only of the fictional Borrower's deposits. The \$4.0m reserve is included in total bank balances and excluded from Unrestricted Cash. No October quarter-end leverage certificate is required by the agreement. The unchanged base forecast in document 04 remains management's current forecast.